AEGIS BANK

Vendor Management Policy

Enterprise AI Decision & Knowledge Platform for Modern Banking

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Document Information

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Confidentiality Notice

This document establishes the policies and procedures used by Aegis Bank to identify, evaluate, onboard, monitor, and manage third-party vendors.

The objective is to reduce vendor-related risks while maintaining operational efficiency and regulatory compliance.

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Table of Contents

1. Purpose

2. Scope
3. Vendor Management Principles
4. Vendor Classification
5. Vendor Onboarding Process
6. Vendor Due Diligence
7. Vendor Risk Assessment
8. Security & Compliance Requirements
9. Vendor Performance Monitoring
10. Contract Management
11. Vendor Review Process
12. AI-Assisted Vendor Management
13. Vendor Exit Process
14. Practical Examples
15. FAQs
16. Revision History
17. Document Approval

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1. Purpose

The purpose of this policy is to establish a structured vendor management framework at Aegis Bank.

This policy ensures:

- Secure vendor relationships.
- Reduced third-party risks.
- Regulatory compliance.
- Better vendor performance.
- Financial control.

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2. Scope

This policy applies to:

- Procurement Department.
- Finance Team.
- IT Department.
- Security Team.
- Compliance Department.
- All external vendors.

It covers:

- Technology vendors.
- Cloud service providers.
- Software suppliers.
- Consulting companies.
- Business service providers.

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3. Vendor Management Principles

Aegis Bank follows these principles:

Risk-Based Approach

Vendors are evaluated according to their business impact and risk level.

Transparency

All vendor relationships must be documented.

Security First

Vendors handling sensitive information must meet security requirements.

Performance Monitoring

Vendor services must meet agreed standards.

Continuous Improvement

Vendor relationships are regularly reviewed.

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4. Vendor Classification

Vendors are categorized based on risk.

Strategic Vendor

High business impact vendors.

Examples:

- Cloud providers.
- Banking technology platforms.
- Security solution providers.

Critical Vendor

Vendors supporting essential operations.

Examples:

- Payment processing services.
- Infrastructure providers.

Standard Vendor

Low-risk service providers.

Examples:

- Office suppliers.
- General service providers.

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5. Vendor Onboarding Process

Vendor onboarding workflow:

Vendor Request

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Business Requirement Review

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Vendor Assessment

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Security Evaluation

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Contract Approval

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Vendor Registration

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Service Activation

Required information:

- Company profile.
- Service details.
- Pricing information.
- Security documentation.
- Compliance certificates.

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6. Vendor Due Diligence

Before approval, vendors are reviewed for:

Business Evaluation

Checks:

- Company reputation.
- Financial stability.
- Experience.

Security Evaluation

Checks:

- Data protection practices.
- Security certifications.

- Access controls.

Compliance Evaluation

Checks:

- Regulatory requirements.
- Privacy obligations.
- Industry standards.

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7. Vendor Risk Assessment

Risk assessment considers:

Risk Area	Evaluation
Security Risk	Data protection capability
Financial Risk	Vendor stability
Operational Risk	Service reliability
Compliance Risk	Regulatory alignment
Business Risk	Dependency impact

Risk Levels:

Level	Description
Low	Minimal impact
Medium	Moderate business impact
High	Significant operational risk
Critical	Essential service dependency

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8. Security & Compliance Requirements

Vendors must follow:

- Data protection standards.
- Access control requirements.
- Security monitoring rules.
- Confidentiality agreements.

Critical vendors may require:

- Security audits.
- Penetration testing reports.
- Compliance certifications.

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9. Vendor Performance Monitoring

Vendor performance is measured through:

- Service quality.
- Response time.
- SLA compliance.
- Security performance.
- Cost effectiveness.

Performance reviews include:

- Monthly monitoring.
- Quarterly assessments.
- Annual vendor evaluation.

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10. Contract Management

All vendor agreements must define:

- Service scope.
- Pricing.
- Security requirements.
- Data handling rules.
- Termination conditions.

Contracts must be reviewed by:

- Procurement.
- Legal Team.
- Finance.
- Security Department.

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11. Vendor Review Process

Review workflow:

Vendor Performance Data

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Risk Analysis

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Management Review

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Improvement Actions

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Vendor Status Update

Possible outcomes:

- Continue relationship.
- Require improvements.
- Restrict services.
- Terminate agreement.

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12. AI-Assisted Vendor Management

Aegis AI OS supports vendor management teams.

AI can assist with:

- Vendor risk scoring.
- Contract analysis.
- Performance analysis.
- Policy retrieval.
- Risk trend detection.

AI Workflow:

Vendor Information

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AI Risk Analysis

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Compliance Check

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Performance Evaluation

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Recommendation

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Human Decision

AI does not approve vendors automatically.

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13. Vendor Exit Process

When ending a vendor relationship:

Process:

Termination Decision

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Access Removal

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Data Return Verification

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Contract Closure

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Vendor Record Update

Exit requirements:

- Remove system access.
- Recover company assets.
- Confirm data deletion.
- Complete documentation.

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14. Practical Examples

Example 1 — Cloud Provider Selection

Aegis Bank requires cloud infrastructure.

Process:

1. Vendors evaluated.
2. Security assessment completed.
3. Compliance reviewed.
4. Vendor approved.

Example 2 — High-Risk Software Vendor

Vendor provides customer data analytics.

Process:

1. Security review performed.
2. Risk level assigned.
3. Contract controls added.
4. Continuous monitoring enabled.

Example 3 — Vendor Security Issue

Vendor reports security incident.

Process:

1. Incident reviewed.
2. Security team notified.
3. Risk assessment performed.
4. Corrective action required.

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15. Frequently Asked Questions (FAQs)

Q1. Why does Aegis Bank manage vendors?

To control third-party risks and maintain secure operations.

Q2. Are all vendors evaluated equally?

No. Evaluation depends on vendor risk level.

Q3. Can AI approve vendors?

No. AI provides analysis while humans make final decisions.

Q4. Why are security reviews required?

To protect banking systems and customer information.

Q5. How often are vendors reviewed?

Critical vendors are reviewed regularly based on risk level.

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16. Revision History

Version	Date	Description	Author
v1.0	May 02, 2026	Initial Vendor Management Policy Release	Finance Department
v1.1	May 30, 2026	Added Vendor Risk Assessment Controls	Risk Management Team
v1.2	**July 24, 2026**	**Enhanced Third-Party Risk Management, Security Reviews, and AI Vendor Analysis**	**Finance Department**

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17. Document Approval

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Document Control

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End of Document

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